

vehicles, including trucks, by 20-25 per cent.)

Tata Motors' Wagh expects a strong drive on infrastructure spending by the government to improve demand across segments in FY23. "Critical sectors including e-commerce, FMCG, FMCD (fast moving consumer durables), construction, mining, steel and cement will continue to drive demand in the M&HCV and I&LCV (intermediate and light commercial vehicles) segments. Similarly, the SCV segment is expected to grow on the back of resilient demand from the agriculture-, dairy-, and e-commerce sectors. We expect a recovery for passenger CVs from the first quarter of FY23, with the reopening of offices and schools, and increased activity in the tourism sector," says Wagh.

Experts say that CV demand is currently supported by the gradual recovery in economic activities, thrust on infrastructure spending, favourable freight rates, stable financing environment and improved utilisation of fleet capacities. "While rural sentiments continue to be subdued, other factors like improving mining and construction activities, deferred replacement demand, last-mile transportation, e-commerce logistics, etc., are expected to support the demand. Also, with schools and colleges gradually opening, the demand for buses will also come back," says K. Srikumar, Vice President and Co-Group Head, Corporate Ratings of ICRA.

Earlier, peak levels of bus industry was

around 70,000-75,000 units whereas today, it's a shallow 16,000 units. "We're expecting very good recovery in the bus segment on the back of schools opening up, pent-up demand and tourism. The sector is coming back very strongly," says Aggarwal of VECV.

When it comes to LCVs, smaller towns and cities are expected to be big growth drivers. "The pandemic has created an excellent opportunity for expansion in Tier II and Tier III cities, particularly in the LCV category, which formerly relied solely on metro cities as their big volume drivers. Also, transportation of fruit, veggies, e-commerce and other consuming sectors driven by doorstep delivery of critical commodities has fuelled the need for last-mile connectivity. With this, we expect LCV volumes to continue to rise," says Rajat Gupta, Head of LCV at Ashok Leyland.

According to the company, the M&HCV segment is also seeing strong demand and growth. "Because of the improved macroeconomic situation and demand from end-user sectors, the CV industry is currently on a recovery path. On the back of development in core sectors such as construction and mining, higher capital outlay for infrastructure projects, a favourable financing environment, and pent-up replacement demand, the M&HCV segment is likely to lead the rebound in the coming months," says Kumar of Ashok Leyland.

He expects the company to see a significant upturn in heavy-end goods (such as construction material, machinery and vehicles). "The sentiment of the market and customers are very strong. We see a lot of demand especially in the heavy-end goods, where Ashok Leyland will see a very significant upturn. There was a large growth in the ICV (intermediate commercial vehicles) segment, within ICV in the CNG segment, which helped us capture the market back," he says.

VECV's Aggarwal, too, says that migration from diesel to CNG is a big business opportunity for the industry. "We're seeing a lot of migration happening from ICE and diesel to CNG. Alternate fuels like CNG and LNG will be a big growth driver for us. Also, there's a huge pent-up demand of replacements especially for heavy and medium duty trucks because the normal replacement cycle is five years and that hasn't happened since the last peak," he says. VECV is also hopeful because

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"We've already gone through the recession cycle; now it's time for the recovery cycle"

VINOD AGGARWAL
MD AND CEO, VECV



"Commodity price increases, especially steel and precious metals, have necessitated the company to pass on a part of it through an increase in prices of its products"

GIRISH WAGH
EXECUTIVE DIRECTOR, TATA MOTORS